

Justin's[®]

BRAND

TOASTER PASTRIES

Pioneering Health and Convenience

The Fantastic Four

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Our Team



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Toaster Pastries!

3.1

Billion Dollar Market

5.7%

Growth Rate

Chips & Honey: *Not our product.*

Chips

- Good finances don't equal good for the brand
- Lower return to marketing investment

Honey

- Little revenue, boring product

Agenda

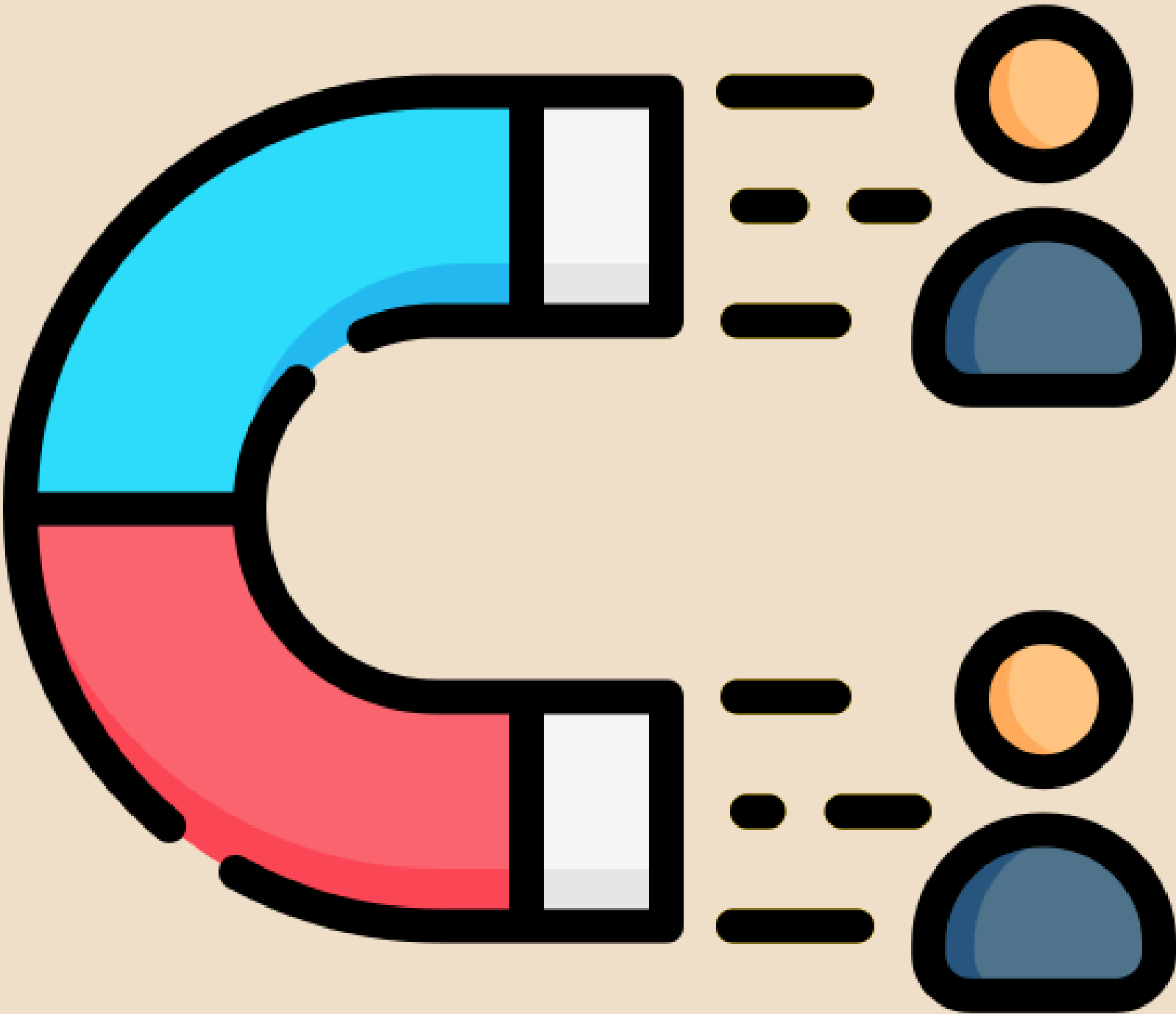
Market
Attractiveness

Fit With Brand

Financial
Attractiveness

Operational
Feasibility

Market Attractiveness



Why Toaster Pastries? A Bold Opportunity



New Space

Opportunity to disrupt an unhealthy industry staying true to the brand just like Justin's did with nut butter

Innovation

Almond milk leaves little room for innovation in a saturated market while there is far more room for innovation with toaster pastries

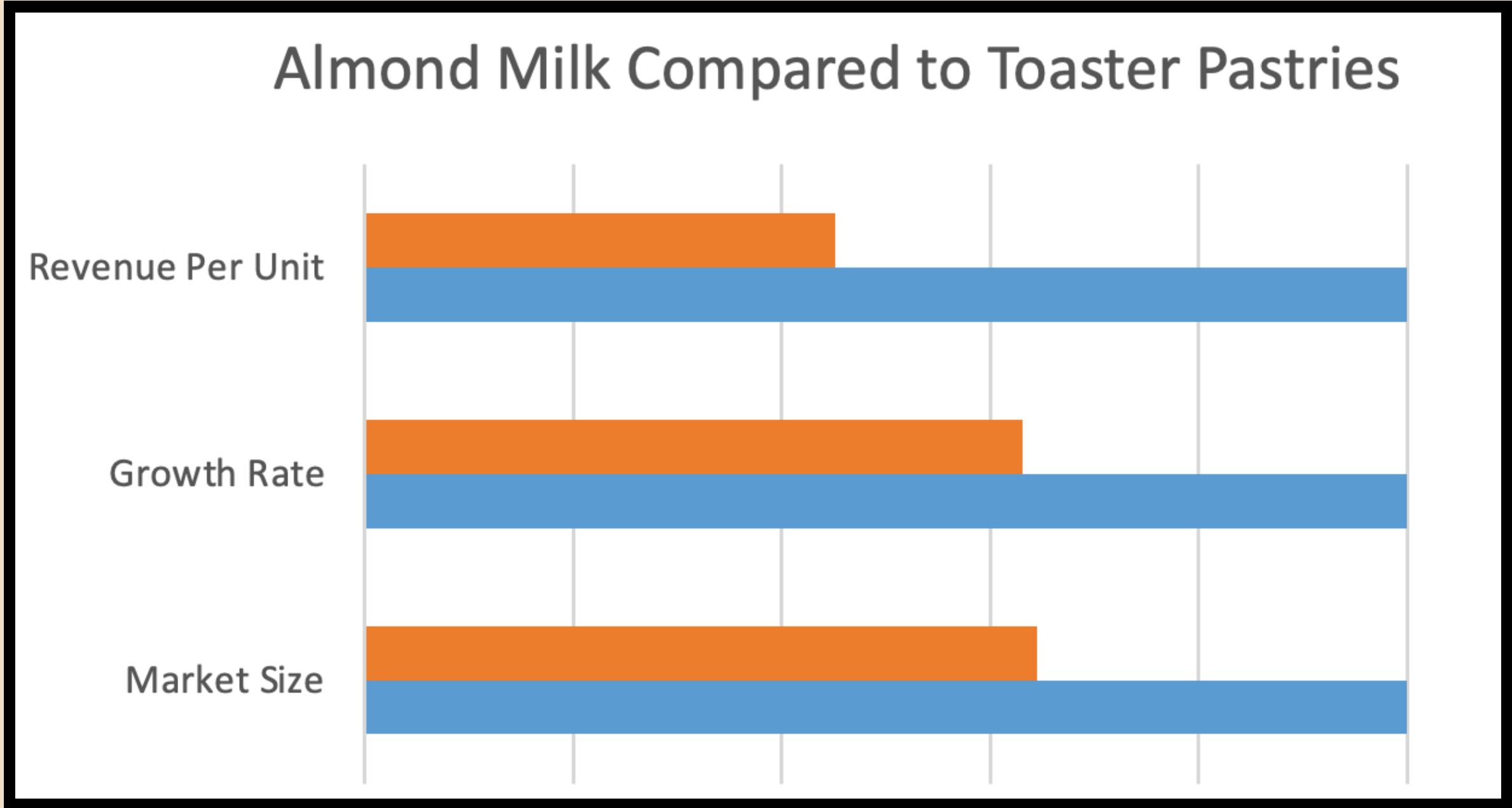


Market

Frozen food expansion in a 3.1 billion dollar market growing at 5.7% annually



Market, Growth, and Profit



Market Size: Toaster Pastries \$3.1B vs. Almond Milk \$2B

Growth Rate: Toaster Pastries 5.7% vs. Almond Milk 3.6%

Revenue Per Unit: Toaster Pastries \$1.13 vs. Almond Milk \$0.51 Lower marketing costs as % of revenue

*Lower marketing cost as a % of revenue

Why This Makes Sense



- Frozen pastries lack a high-protein, non-GMO alternative, creating a market gap
- Justin's has successfully disrupted before, so why not pastries?
- Yes, competition exists, but Justin's has thrived in competitive categories

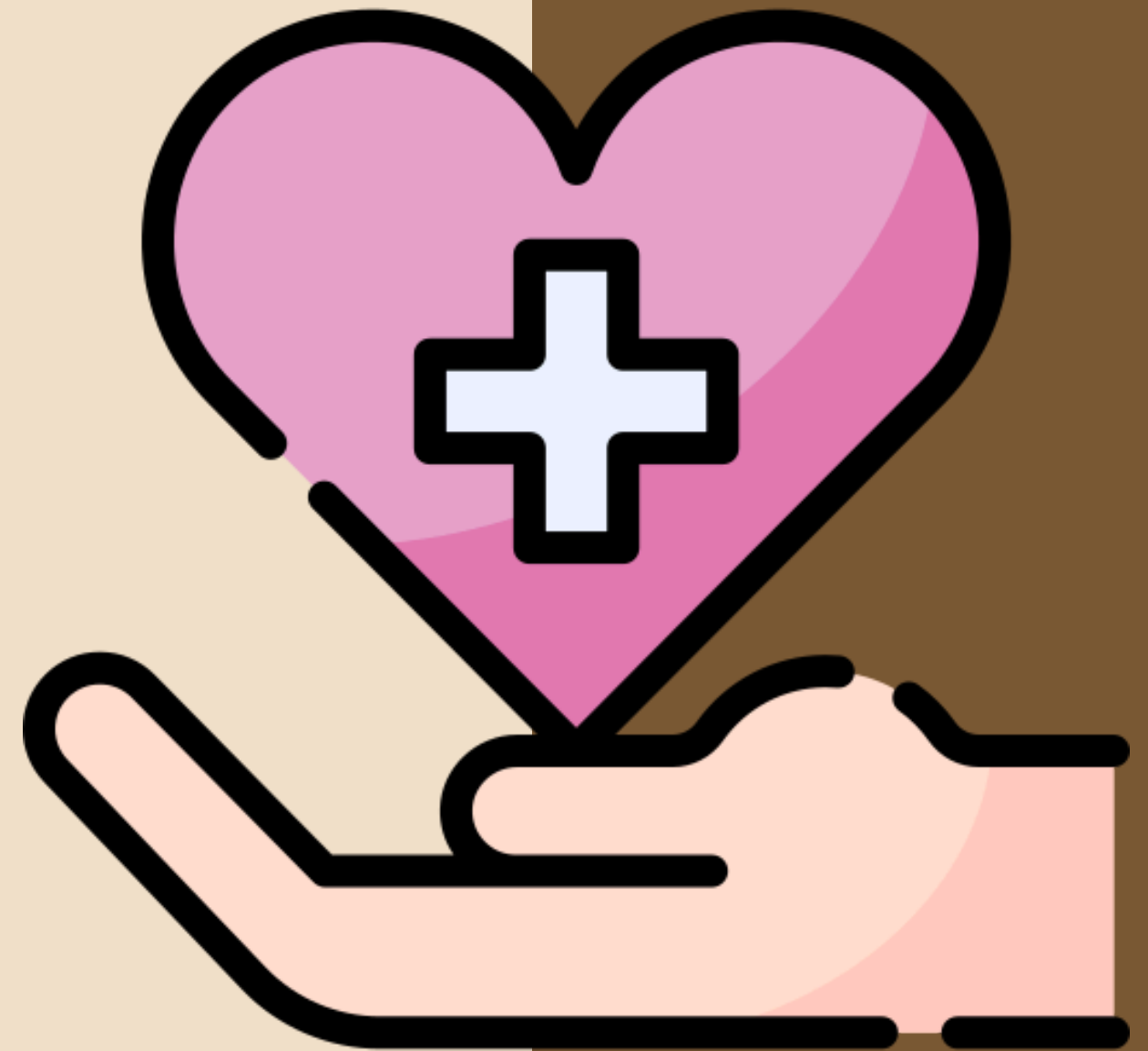
Fit With Brand Image





Who We Are

- Health Conscious
- Vegetarian
- Constant Innovation
- Market Disruptor



Brand Image: Almond Milk

It fits our
brand image
when it comes
to utilizing
nuts for
vegetarian
options



Where's the
drama?
No potential
for product
innovation

Brand Image: Sunflower Seeds

Nuts & Seeds;
but no
innovation



No space to
innovate, and
too small a
market to
make an
impact



Who We Are

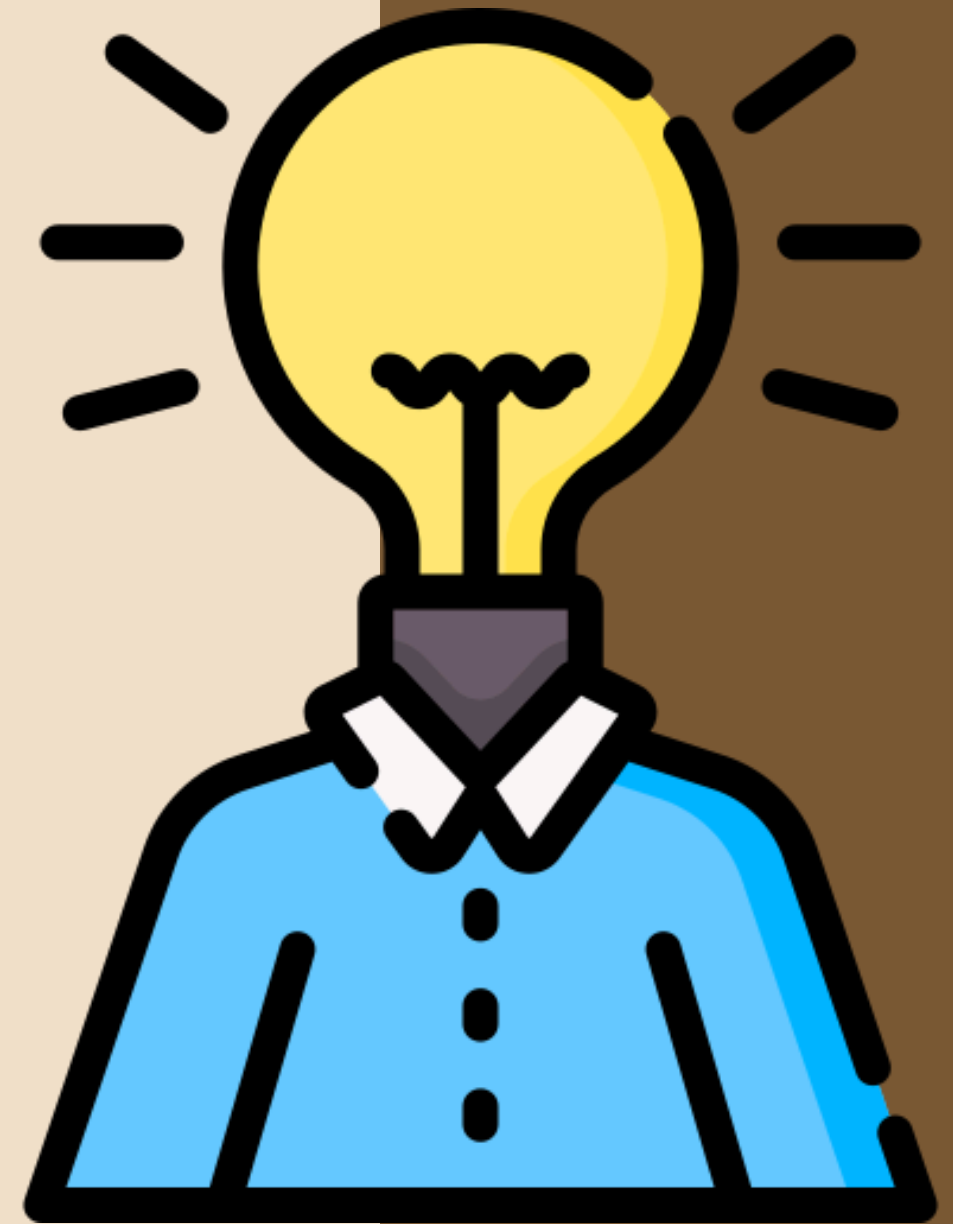
- Health Conscious
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BRAND

Toaster Pastries

- New, Premium Product
- Like nothing in the industry already.
- Actually interesting!



Financial Attractiveness



GOAL: Long Term Financial Success

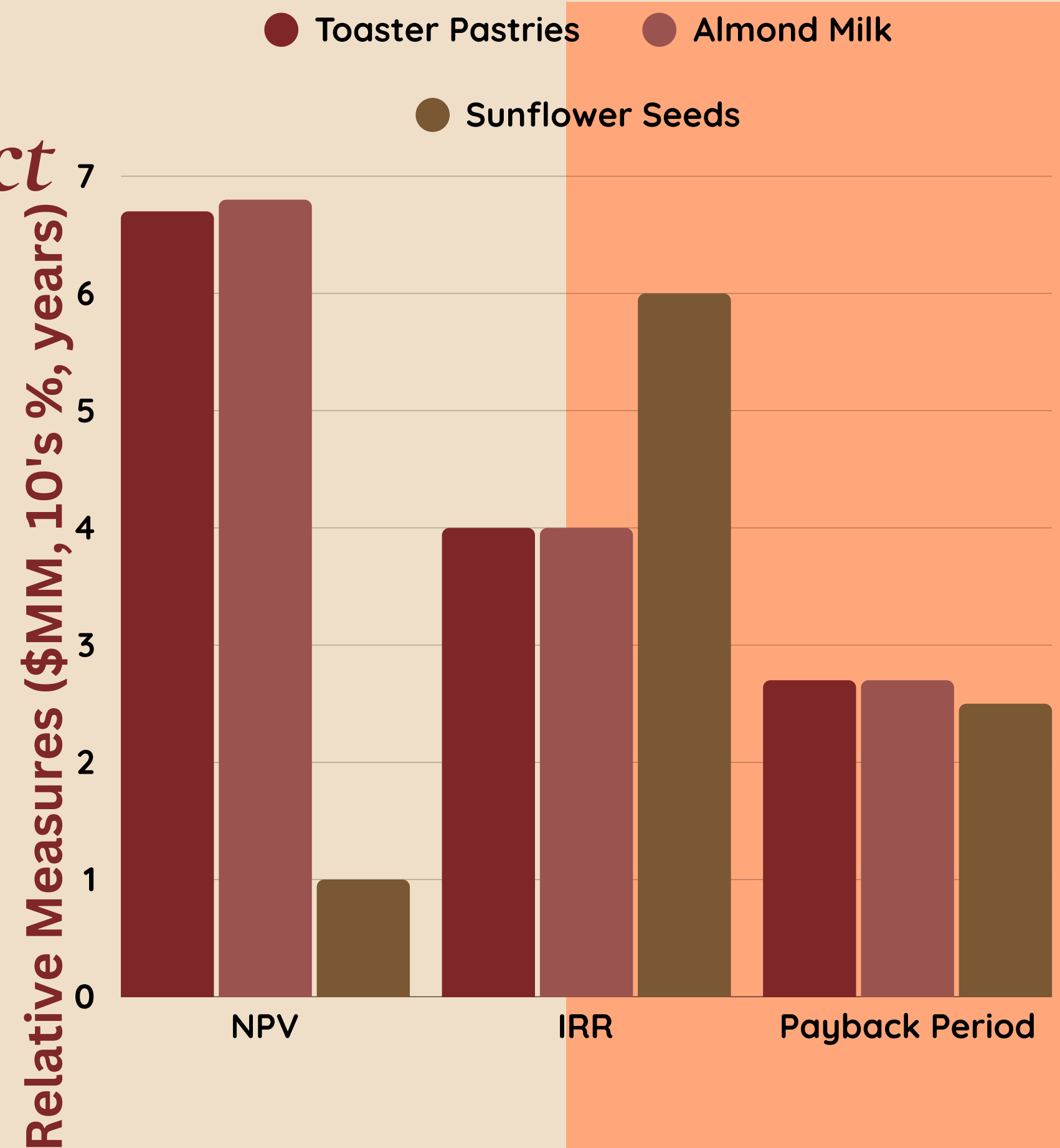
Internal Rate
of Return

Net Present
Value

Payback Period

When launching a new product we need to ask:

- Does it
 - Make long-term profit
 - Make back its initial investment quickly
 - Have a high rate of return



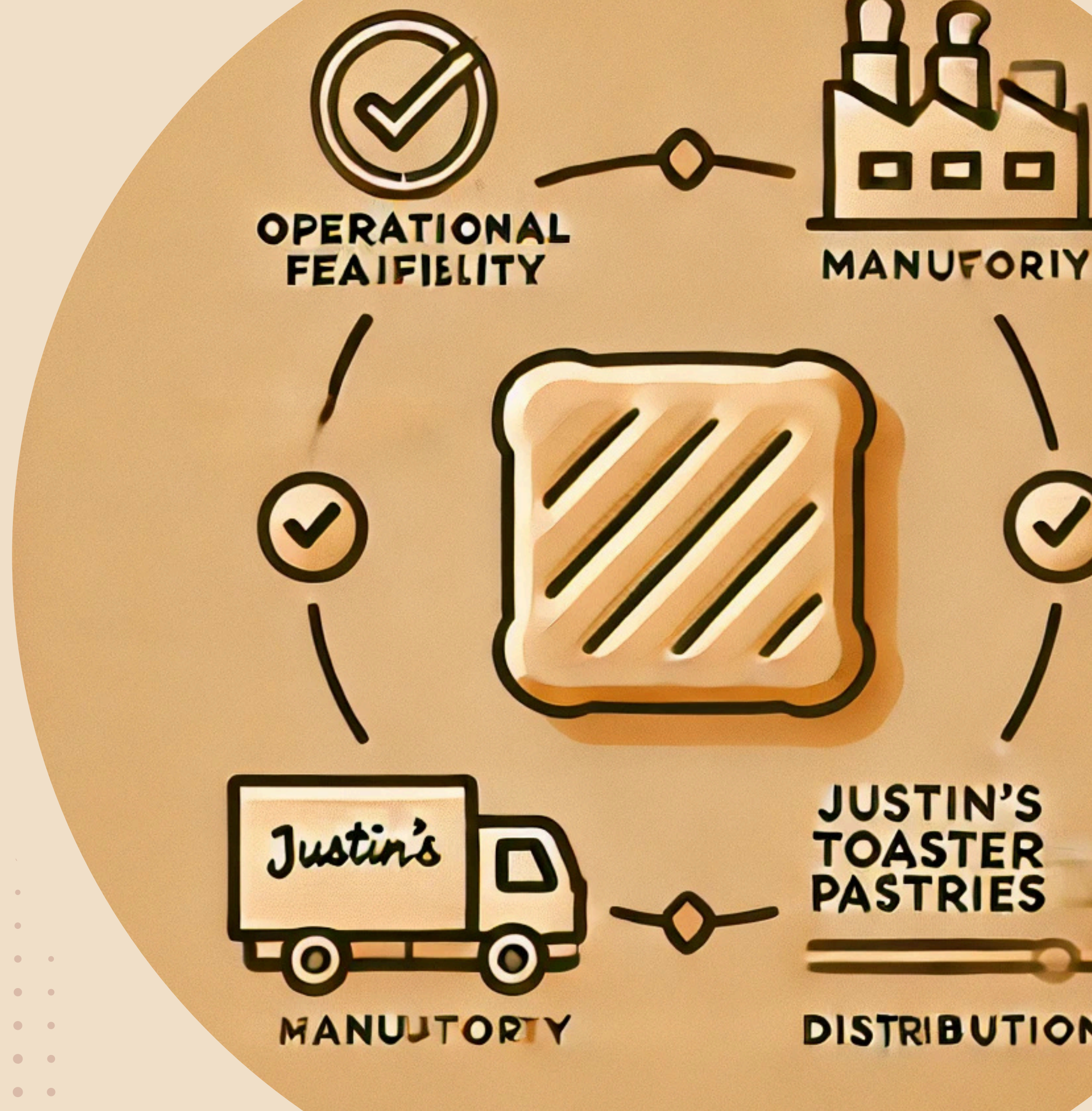
How Sensitive to each input?

- **How much can each input assumption change while still making a profit in terms of NPV?**
 - Higher percentage means higher MOS
 - Where the largest differences are



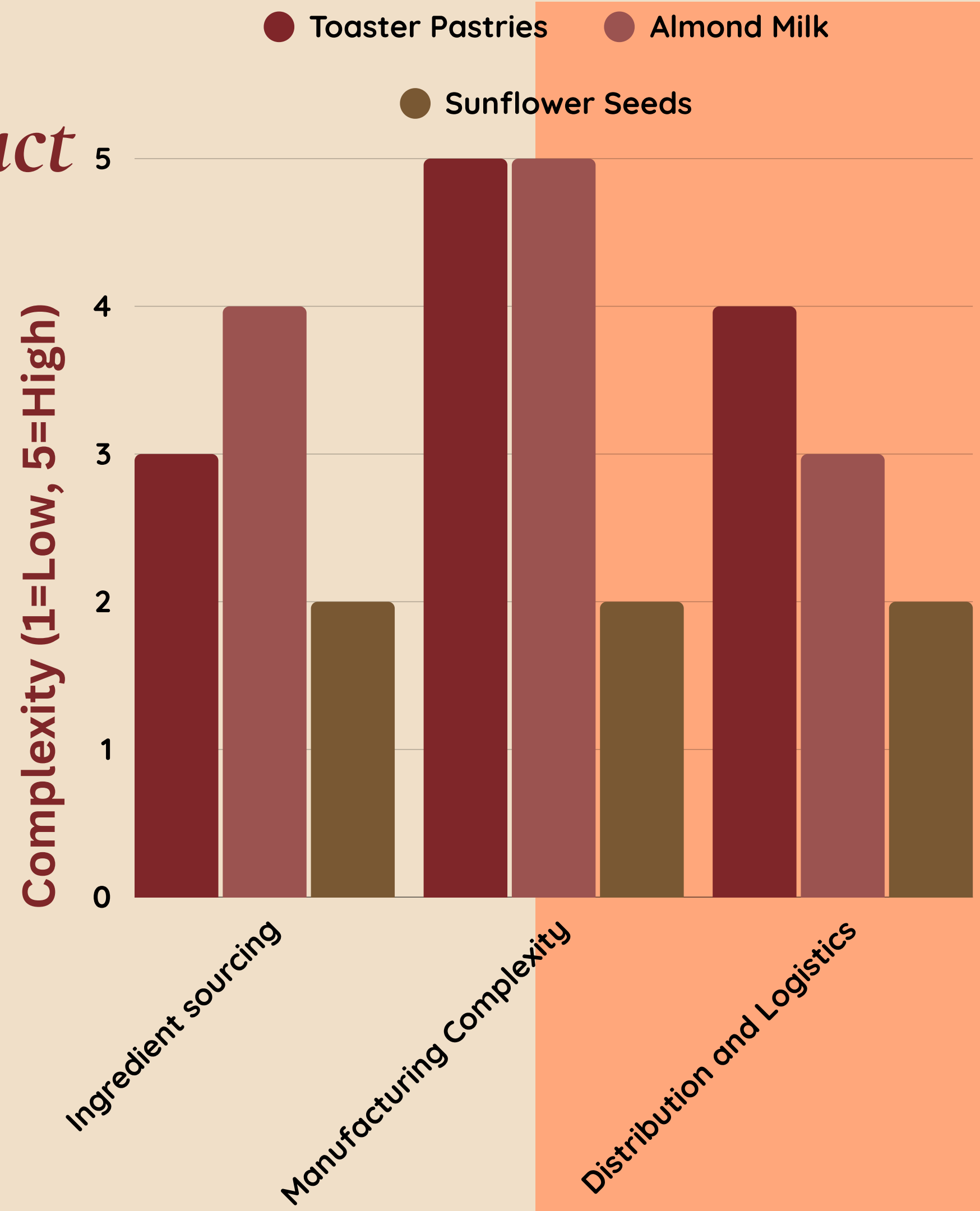
Sensitivity Factor	Toaster Pastries	Almond Milk	Sunflower Seeds
Marketing Expense per Quarter: Distribution	22427%	0%	0%
Marketing Expense as % of Justin's Revenue: Retail	217%	359%	362%
Annual Operating Expenses: Other	449%	380%	132%
Year 0 Capital Expenditures	182%	185%	782%
Year 0 One-Time Start-Up Costs	1063%	721%	624%
Tax Rate	325%	325%	363%
WACC	305%	296%	490%
Justin's Variable Costs Per Unit	44%	30%	31%
Justin's Unit Selling Price to Distributor	31%	23%	24%

Operational Feasibility



When launching a new product we need to ask:

- Can we
 - Source it
 - Manufacture it
 - Distribute it
 - Make it profitable



Almond Milk - A Natural Fit?



Uses almonds, core ingredient of Justin's



Shelf-stable and compatible with existing logistics



Requires stabilizers, emulsifiers & new ingredients



Complex and costly manufacturing



New equipment and packaging

Sunflower Seeds - Simple to Produce, but Does it Fit?



Simple ingredient sourcing



Easiest of the three in manufacturing



No major changes to distribution & logistics



Doesn't expand brand identity

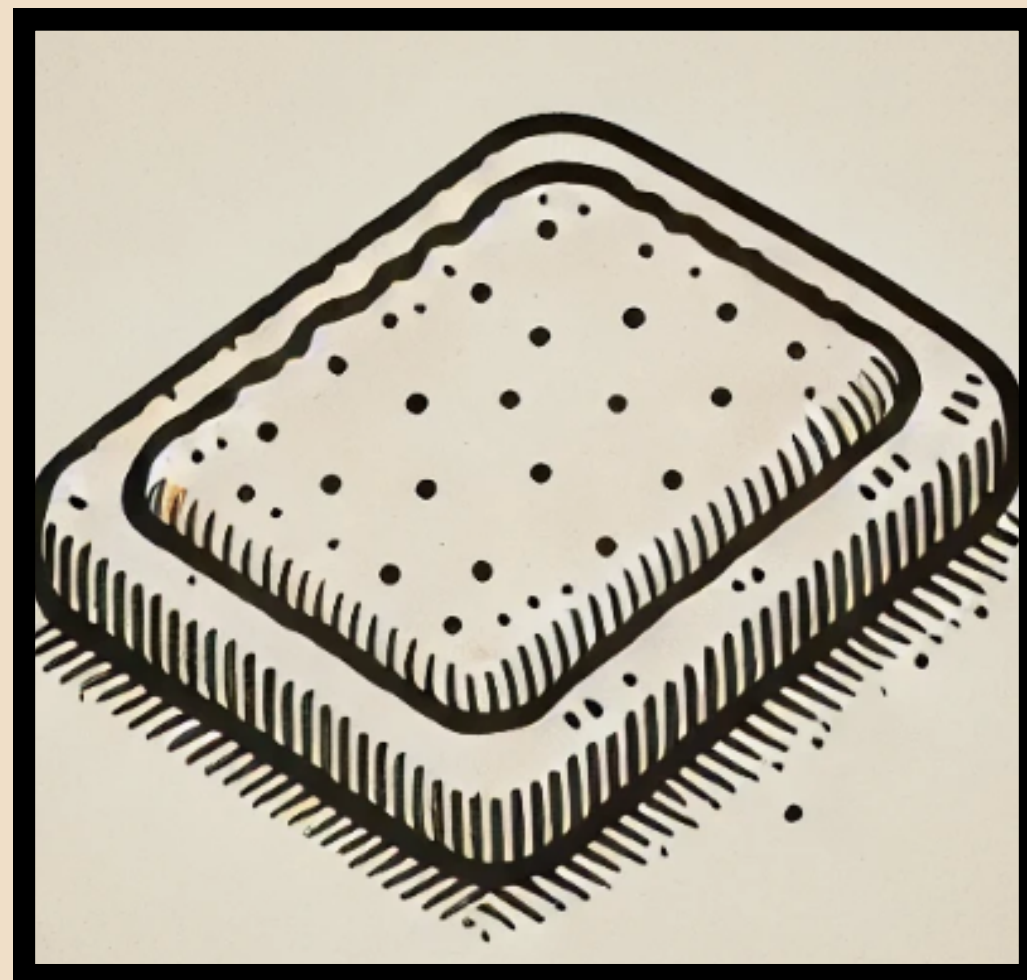


Lacks innovation

Toaster Pastries - Best Choice Despite Challenges



Justin's already sources
premium nut butters



New ingredient sourcing



Higher production
investment



Why This Decision Makes Sense

Market ready
for innovation

Perfect brand
expansion

Financial
viability

Operational
challenges can
be manageable

**The best brands don't
follow trends. They
create them**



Let's Make This Happen!



Justin's®
BRAND

Healthier Choices, Bold Innovation



Who's ready to take the leap?





Thank you

The Fantastic Four

